

NOTE 14 — PROPERTY TRANSACTIONS, NET

Property transactions, net consisted of the following:

Year Ended December 31 (In thousands)	2004	2003	2002
Gain on sale of North Las Vegas land	\$ —	\$ (36,776)	\$ —
Siegfried & Roy theatre write-down – The Mirage	—	1,408	—
Storm damage – Beau Rivage	—	—	7,824
Write-off of Detroit development costs	—	—	4,754
Impairment of assets to be disposed of	473	5,764	2,134
Demolition costs	7,057	6,614	—
Other net losses on asset sales or disposals	1,135	4,049	—
	\$ 8,665	\$ (18,941)	\$ 14,712

In 2004, there were no material unusual property transactions. In 2003 the Company sold 315 acres of land in North Las Vegas, Nevada near Shadow Creek for approximately \$55 million, which resulted in a pretax gain of approximately \$37 million. Also in 2003, the Company recorded write-downs and impairments of assets abandoned or replaced with new construction, primarily at MGM Grand Las Vegas in preparation for new restaurants and the new theatre. Prior to 2003, the Company classified gains and losses on routine asset sales or disposals as a non-operating item at some resorts and as an operating item at other resorts. Management believes the preferable presentation of these items is as an element of operating income. Prior period statements have not been reclassified as such transactions were not material in the prior periods. Until 2003, demolition costs were typically capitalized as part of new construction. The Company began expensing demolition costs on major construction projects as incurred on January 1, 2003, and is accounting for this change in policy prospectively. Demolition costs were not material in prior periods. Demolition costs in 2004 and 2003 relate primarily to preparation for the Bellagio standard room remodel, Bellagio expansion and new theatre at MGM Grand Las Vegas.

In 2002, Tropical Storm Isidore caused property damage at Beau Rivage totaling \$8 million, including clean-up costs. The amount of the write-down for damaged assets was determined based on the net book value of the assets and engineering estimates. In connection with the revised development agreement in Detroit, the Company wrote off \$5 million, which was the net book value of previously incurred development costs associated with the riverfront permanent casino site (\$9 million), offset by previously accrued obligations no longer required under the revised development agreement (\$4 million). Also in 2002, the Company recorded write-downs and impairments of assets abandoned or replaced with new construction.

NOTE 15 — RELATED PARTY TRANSACTIONS

The Company's related party transactions consisted of the following revenues (expenses):

Year Ended December 31 (In thousands)	2004	2003	2002
Hotel and other revenue from related parties	\$ 416	\$ 871	\$ 764
License fees to entities under common ownership . . .	(1,000)	(1,000)	(1,000)
Professional fees to directors or firms			
affiliated with directors	(4,084)	(1,551)	(1,815)
Other related party expenses	(62)	(468)	(224)
	\$ (4,730)	\$ (2,148)	\$ (2,275)

At December 31, 2004, the Company owed \$2 million for legal fees to a firm affiliated with one of the Company's directors. The Company also engaged in transactions with its unconsolidated affiliates. In each of 2004 and 2003, the Company paid Monte Carlo \$4 million as a result of closing the tram between Bellagio and Monte Carlo in preparation for the Bellagio expansion. The Company leases two acres of land to Borgata and received \$1 million in each of 2004, 2003 and 2002 under this lease. Borgata is required to pay for a portion of the master-plan improvements at Renaissance Pointe, and the Company is responsible for environmental cleanup costs incurred by Borgata. The net amount reimbursed to the Company under these arrangements for the years ended December 31, 2004, 2003 and 2002 was \$1 million, \$10 million and \$8 million, respectively.